Quality of Business

A 10-Dimension Framework for Structural Business Assessment | Applied to PB Fintech, 360 One / Nuvama, Eternal, and Swiggy

Important context before you use this document.
The 10-dimension framework is a synthesis of standard quality investing principles (Buffett, Munger, Terry Smith, Chuck Akre). It is a teaching framework, not an official Bernstein methodology.

The scoring for 360 One and Nuvama is anchored in Bernstein research notes reviewed together. The scoring for PB Fintech, Eternal, and Swiggy is based on publicly-known business model characteristics, NOT Bernstein research. When you have the actual Bernstein notes for these names, update the scores accordingly.

Use this as a thinking tool. Verify specifics against primary research before quoting in any professional context.

Part 1 — The 10-Dimension Framework

Score each business on a 1–5 scale across the ten dimensions below. Total out of 50. The score maps to a business grade and a rough deserved multiple. Quality drives multiple; multiple drives valuation.

#	Dimension	Test Question
1	**Revenue Predictability**	If no new customers next year, how much revenue still comes in?
2	**Return on Capital**	Is ROE sustainably above 20% (well above cost of capital)?
3	**Capital Intensity**	How much incremental capital is needed to double revenue?
4	**Pricing Power**	Raise prices 5% — how many customers leave?
5	**Moat / Competitive Position**	Well-funded competitor enters — can they take share in 3 years?
6	**Customer Stickiness / Switching Costs**	Competitor offers 20% cheaper — how many customers switch?
7	**Operating Leverage**	Double revenue — do margins expand 5+ percentage points?
8	**Growth Runway**	Is the TAM at least 10x current revenue?
9	**Regulatory Environment**	Can a single regulator decision cut revenue 20%+?
10	**Management Quality / Capital Allocation**	Would you trust them with your own money for 20 years?

Composite Score → Grade → Deserved Multiple

Total Score	Grade	Business Quality	Rough Fair Multiple
45–50	**A+**	Rare compounder	40x+ forward earnings
40–44	**A**	Excellent long-term hold	30–40x
35–39	**A-**	Very good	25–30x
30–34	**B**	Solid but with limitations	20–25x
25–29	**B-**	Average, some challenges	15–20x

20–24	**C**	Below average	10–15x
Below 20	**D**	Structurally weak	Under 10x

The multiple mapping is directional, not precise. Growth trajectory, ROE, and market conditions all shift the actual multiple. Use it as an anchor, not a rule.

Part 2 — How to Score Each Dimension

For each dimension below, the 1-to-5 scale describes what a low-quality versus high-quality business looks like. Use the anchor descriptions when scoring; ask the test question when in doubt.

1. Revenue Predictability

How reliably can you forecast next year's revenue?

5	Recurring / annuity / subscription revenue. Highly stable.
4	Repeat customers with some churn. Modestly predictable.
3	Mix of recurring and transactional.
2	Transaction-heavy, cyclical.
1	Deal-dependent, one-off, market-timing dependent.

2. Return on Capital

How efficiently does the business use its capital?

5	Sustained ROE above 25%. Value-creation machine.
4	ROE 20–25%.
3	ROE 15–20%.
2	ROE 10–15%. Near cost of capital.
1	ROE below 10% or negative. Value destroyer.

3. Capital Intensity

How much money does the business need to grow?

5	Asset-light. Grows without capital. Platform / franchise businesses.
4	Low capital intensity. Minor investments needed.
3	Moderate. Some ongoing capex.
2	High. Requires balance sheet to grow.
1	Very high. Constant capital raises needed.

4. Pricing Power

Can the business raise prices without losing customers?

5	Strong pricing power. Regular price increases without churn.
4	Moderate. Occasional increases work.
3	Some pricing power at high end of market only.
2	Limited. Highly competitive.
1	No pricing power. Commodity business.

5. Moat / Competitive Position

What protects the business from competition?

5	Multi-layered moat. Network effects + scale + brand + regulation.
4	Strong single moat (network effect, scale, or brand).
3	Partial moat in niche segments.
2	Limited. Some brand or scale advantage.

1	No real moat. Purely competitive market.

6. Customer Stickiness / Switching Costs

How hard is it for customers to leave?

5	Very high switching costs. Multi-year relationships, deep integration.
4	High. Contracts, habits, or investment locked in.
3	Moderate. Some switching friction.
2	Low. Customers can leave easily.
1	Zero. Every purchase is a fresh decision.

7. Operating Leverage

Do margins expand as revenue grows?

5	Very high. Fixed cost base, revenue drops to bottom line.
4	Strong. Meaningful margin expansion with scale.
3	Moderate. Some fixed costs.
2	Limited. Costs scale roughly linearly with revenue.
1	None. Variable cost business.

8. Growth Runway

How long can the business keep growing at attractive rates?

5	15+ years of structural growth. Under-penetrated market.
4	10–15 years of growth runway.
3	5–10 years.
2	Mature market, growing with GDP.
1	Declining or saturated market.

9. Regulatory Environment

How exposed is the business to regulatory shocks?

5	Regulation is stable and predictable. Low exposure.
4	Some oversight but well-established rules.
3	Moderate regulation. Occasional changes.
2	Active regulatory environment. Rules changing.
1	Existential regulatory risk. Business model could be banned or capped.

10. Management Quality / Capital Allocation

Are the people running the business trustworthy and disciplined?

5	Founder-led with skin in the game. Long track record of good capital allocation.
4	Strong management. Aligned incentives.
3	Competent but average.
2	Some concerns on strategy or governance.
1	Poor management, misaligned incentives, or history of capital destruction.

Part 3 — Applied Comparison

Four businesses scored across the 10 dimensions. Read the caveats. The wealth manager scores are anchored in Bernstein research reviewed together. The others are based on publicly-known business models and should be updated when you have the actual Bernstein coverage.

The Businesses in One Line Each

360 One / Nuvama: HNI and UHNI wealth management. Revenue from recurring AuM fees on annuity assets plus transactional revenue. Nuvama also runs asset services (clearing) and capital markets. *Scored from Bernstein research.*

PB Fintech (Policybazaar): Online distribution platform for insurance and credit products. Revenue from insurance commissions and referral fees. Category leader in online insurance distribution. *Scored from public knowledge.*

Eternal (formerly Zomato): Parent of Zomato (food delivery), Blinkit (quick commerce), Hyperpure (B2B supplies), and Zomato Dining. Blinkit is now the primary re-rating driver. *Scored from public knowledge.*

Swiggy: Direct competitor to Eternal. Food delivery (Swiggy Food) plus quick commerce (Instamart) plus dining out. Similar business model to Eternal but historically smaller scale in food delivery and Instamart lagging Blinkit in quick commerce. *Scored from public knowledge.*

The Scoring Table

#	Dimension	360 One / Nuvama	PB Fintech	Eternal (Zomato)	Swiggy
1	**Revenue Predictability**	5	2	3	3
2	**Return on Capital**	4-5	2	2	1-2
3	**Capital Intensity**	4-5	5	3	3
4	**Pricing Power**	4	2	2	2
5	**Moat**	4	3	3	2-3
6	**Customer Stickiness**	5	1	3	3
7	**Operating Leverage**	4	3	3	3
8	**Growth Runway**	5	4	4	4
9	**Regulatory Environment**	4	2	4	4
10	**Management Quality**	3-4	4	4	3-4
	TOTAL	**42-44**	**28**	**31**	**28-30**
	GRADE	**A**	**B-**	**B**	**B-**

The Ranking

1. 360 One / Nuvama — A business. The winner by a clear margin on structural quality. Recurring AuM fees, 25%+ ROE, sticky HNI relationships, low regulatory risk. Justifies 30–35x forward earnings.

2. Eternal (Zomato / Blinkit) — B business. Improving quality as Blinkit scales. Food delivery is mature; Blinkit is the re-rating story. Category leadership in quick commerce ahead of Swiggy Instamart. Long growth runway but current unit economics still fragile.

3. Swiggy — B- business. Similar business model to Eternal but scores lower on Return on Capital (later to profitability) and Moat (behind Blinkit in quick commerce). Swiggy's advantage is dining out leadership. The gap to Eternal is closable but requires execution.

4. PB Fintech — B- business. Structural quality limited by weak customer stickiness — the relationship ends at the transaction. Highest regulatory risk on IRDAI commission caps. Redeemed by growth optionality and category leadership.

Part 4 — Where Each Business Wins

Business	Where It Wins
360 One / Nuvama	• Revenue predictability (recurring AuM fees) • Customer stickiness (multi-decade RM relationships) • Return on capital (25%+ ROE sustained) • Pricing power at UHNI end
PB Fintech	• Capital intensity (purest asset-light of the four) • TAM reach (can serve mass market) • Category leadership (clear #1 in online insurance) • Founder-led management with vision
Eternal (Zomato)	• Growth runway (quick commerce still early) • Regulatory environment (stable) • Blinkit's category leadership vs Instamart • Massive addressable market (food + grocery)
Swiggy	• Dining out (Dineout) market leadership • Growth runway similar to Eternal • Regulatory environment similar to Eternal • Improving execution and reducing losses

Part 5 — Current Quality vs Growth Optionality

Here is where analytical honesty matters. On CURRENT structural economics, wealth managers dominate. But on GROWTH OPTIONALITY, Eternal, Swiggy, and PB have more room to surprise. Great investors bet on B businesses that are becoming A businesses, not just A businesses that are already priced.

Optionality by Business

Eternal's optionality: If Blinkit becomes India's dominant grocery delivery platform, quick commerce economics improve, and category matures — Eternal could re-rate from B to A. The wildcard is whether Blinkit hits ROE and margin profile of dominant grocery at scale.

Swiggy's optionality: Similar to Eternal but from a lower base. If Instamart closes the Blinkit gap and Dineout compounds, Swiggy's quality score could rise materially. But requires execution improvement and losses to shrink faster than expected.

PB Fintech's optionality: If PB can convert transactional insurance customers into repeat financial services customers (loans, credit cards, MFs), LTV expands dramatically and quality score rises from B- to B or A-. But this transition has not been proven yet.

360 One / Nuvama's optionality: Steady structural HNI wealth compounding. Less big-bang upside — the multiple already reflects the quality. Risk is cross-cycle multiple compression, not thesis break. If PAG exits cleanly (Nuvama), that is a one-time overhang removal, not a structural quality change.

Investment Implication

If you want steady compounding at high quality, wealth managers are your bet. If you are willing to bet on category economics improving and take execution risk, Eternal, Swiggy, and PB offer more asymmetric upside — with lower quality of underlying business today. This is why the market pays premium multiples for growth optionality names, sometimes even when current quality is lower.

Part 6 — The 20-Year Test

The purest quality test — **if you had to own ONE for 20 years and could never check the stock price, which do you pick?**

Winner: 360 One / Nuvama. Highest confidence the business is still there in 20 years with better economics than today. That is what quality means.

If you had to bet on ONE for maximum upside over 10 years, accepting more risk — probably Eternal (the Blinkit thesis). If quick commerce economics improve materially, the re-rating potential is large. But it requires execution and category economics to cooperate.

If you had to pick the ONE most likely to disappoint over 5 years — probably PB Fintech. Distribution economics face structural regulatory risk, and the business has not yet proven it can build customer LTV beyond a single transaction. It could stay a B- business for a long time.

Swiggy sits in the middle — better than PB on TAM, behind Eternal on execution, still proving itself.

How to Use This Framework in Practice

1. Score every stock in your coverage.
Half a page per stock. Total time — one weekend to build your entire coverage scorecard. Then re-score annually. When scores change, that is a signal — the business is either improving (potential re-rating) or deteriorating (potential de-rating).

2. Use it to defend valuation calls.
When someone asks why you assign 40x to wealth distribution and 15x to capital markets, walk them through the specific dimensions where quality differs. This is how senior analysts defend multiples.

3. Use it to find mispricings.
When quality score and current multiple diverge, ask why. Sometimes there is a reason (regulation, temporary depression). Sometimes it reveals opportunity — a B business priced as C, or a C business priced as B.

4. Use it for cross-sector comparisons.
The framework works for any business, not just financials. This is what lets you have informed conversations about Eternal or Swiggy even though they are not in your coverage. Sector-agnostic quality thinking is what makes senior analysts valuable to global investors.

5. Remember — frameworks only work when used.
Save this document. Actually score three stocks this week. Show your scoring to Manas or a senior colleague. Get feedback. Refine. The difference between good and great analysts is not that they know more frameworks — it is that they consistently use the ones they know.

— End of Cheat Sheet —

Framework: synthesis of standard quality investing principles. Company scoring: 360 One / Nuvama anchored in Bernstein research; PB Fintech, Eternal, Swiggy from public knowledge. Verify against primary research before quoting.